

Article	Full rate	Preferential rate	1st Sch. —cont.
Glucose—	s. d.	s. d.	
Solid the cwt.	7 5	3 8½	
Liquid the cwt.	5 4	2 8	
Saccharin (including substances of a like nature or use) the oz.	7 6	5 7½	

In this Schedule “molasses” includes invert sugar and all other sugar and extracts from sugar which cannot be completely tested by the polariscope and on which duty is not specifically charged under this Schedule as sugar or glucose; and for the purposes of this Schedule the amount of sweetening matter in molasses shall be taken to be the total amount of cane, invert and other sugar contained therein as determined by analysis in manner prescribed by the Commissioners

SECOND SCHEDULE

Section 3.

DUTIES ON DRIED FRUIT

Currants	2s. per cwt.
Figs, dried	6s. per cwt.
Figs, drained or crystallized	7s. per cwt.
Fig cake... ..	7s. per cwt.
Plums, commonly called French plums and prunellos	7s. per cwt.
Plums, dried or preserved, not otherwise described, but not including prunes	7s. per cwt.
Raisins	7s. per cwt.

CHAPTER 55

Television Act, 1954

ARRANGEMENT OF SECTIONS

Section

1. The Independent Television Authority.
2. Powers of Authority.
3. General provisions as to programmes and publications of Authority.
4. Advertisements.
5. Contracts for programmes.
6. Special provisions to be included in contracts.
7. Television broadcasting facilities in respect of certain sporting and other events.
8. Advisory committees.
9. Government control over Authority as to certain matters.
10. General duty of Authority as to finance.
11. Grants by Postmaster-General to Authority.
12. Advances by Postmaster-General to Authority.

Section

13. Application of revenues.
14. Reserve fund.
15. Accounts, audit and reports.
16. Machinery for settling terms and conditions of employment of Authority's staff, etc.
17. Wages and conditions of employment of persons employed by programme contractors.
18. Expenses of Postmaster-General.
19. Interpretation.
20. Short title and extent.

SCHEDULES:

First Schedule—Provisions as to the Independent Television Authority.

Second Schedule—Rules as to Advertisements.

Third Schedule—Purposes for which Provision is to be made in Contracts with Programme Contractorx.

An Act to make provision for television broadcasting services in addition to those provided by the British Broadcasting Corporation, and to set up a special authority for that purpose; to make provision as to the constitution, powers, duties and financial resources of that authority and as to the position and obligations of persons contracting with that authority for the provision of programmes and parts of programmes; and for purposes connected with the matters aforesaid.
[30th July, 1954]

BE it enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

The
Independent
Television
Authority.

1.—(1) There shall be an authority, to be called the Independent Television Authority (in this Act referred to as "the Authority") whose function shall be to provide, in accordance with the provisions of this Act, and for the period of ten years from the passing of this Act, television broadcasting services, additional to those of the British Broadcasting Corporation and of high quality, both as to the transmission and as to the matter transmitted, for so much of the United Kingdom, the Isle of Man and the Channel Islands as may from time to time be reasonably practicable.

(2) The Authority shall consist of a Chairman, a Deputy Chairman and such other members, not being less than five nor

more than eight, as the Postmaster-General may from time to time determine :

Provided that unless and until the Postmaster-General otherwise determines by notice in writing to the Authority, a copy of which shall be laid before each House of Parliament, the number of the said other members shall be eight.

(3) All the members of the Authority shall be appointed by the Postmaster-General from among persons appearing to him to be qualified for the office, and of the members of the Authority other than the Chairman and Deputy Chairman three shall be persons who appear to the Postmaster-General to be suited to make the interests of Scotland, the interests of Wales and Monmouthshire and the interests of Northern Ireland, respectively, their special care.

(4) The Postmaster-General may at any time direct by notice in writing, a copy of which shall be laid before each House of Parliament, that any member of the Authority shall cease to hold office, and any member of the Authority may at any time by notice in writing to the Postmaster-General resign his office : but, save as aforesaid and subject to the provisions of the next following subsection, every member of the Authority shall hold office for such period, not exceeding five years, as may be fixed at the time of his appointment, and shall, on ceasing to be a member, be eligible for reappointment.

(5) If any member of the Authority dies or ceases to hold office before the expiration of the term for which he was appointed, the term of office of his successor shall be so fixed as to expire at the end of the first-mentioned term, but the Postmaster-General may, if he thinks fit so to do, defer the making of an appointment until the expiration of the said first-mentioned term.

(6) A person shall be disqualified for being appointed or being a member of the Authority so long as he is a member of the Commons House of Parliament or of either House of the Parliament of Northern Ireland or a Governor of the British Broadcasting Corporation.

(7) Before appointing a person to be a member of the Authority, the Postmaster-General shall satisfy himself that that person will have no such financial or other interest (and, in particular, no such financial or other interest in any advertising agency or in any business concerned with the manufacture or sale of apparatus for wireless telegraphy or other telegraphic equipment or in any business consisting or intended to consist in whole or in part in entering into or carrying out contracts with the Authority for the provision of programmes or parts of

programmes) as is likely to affect prejudicially the discharge by him of his functions as member of the Authority, and the Postmaster-General shall also satisfy himself from time to time with respect to every member of the Authority that he has no such interest; and any person who is, or whom the Postmaster-General proposes to appoint to be, a member of the Authority shall, whenever requested by the Postmaster-General so to do, furnish to him such information as the Postmaster-General considers necessary for the performance by the Postmaster-General of his duties under this subsection.

(8) The Authority shall pay to each of their members, in respect of his office as such, such remuneration (whether by way of salary or fees) and such allowances as the Postmaster-General may, with the approval of the Treasury, determine in the case of those members respectively.

(9) If any member of the Authority, other than the Chairman thereof, is employed about the affairs of the Authority otherwise than as a member thereof, the Authority shall pay to that member such remuneration, if any, (in addition to any remuneration to which he may be entitled in respect of his office as a member) as the Postmaster-General may, with the approval of the Treasury, determine.

(10) The Postmaster-General shall as soon as possible after the passing of this Act lay before each House of Parliament a statement of the remuneration and allowances that are or will be payable to the members of the Authority under this section and, if any subsequent determination by him under this section involves any departure from the terms of the said statement, the Postmaster-General shall, as soon as possible after determination, lay a statement thereof before each House of Parliament.

(11) The provisions of the First Schedule to this Act (which relate to the procedure of and other similar matters concerning the Authority) shall have effect with respect to the Authority.

(12) It is hereby declared that the Authority are not to be treated for the purposes of the enactments and rules of law relating to the privileges of the Crown as a body exercising functions on behalf of the Crown.

**Powers of
Authority.**

2.—(1) The Authority shall, subject to the provisions of this Act, have power to do all such things as are in their opinion necessary for or conducive to the proper discharge of their function as described in subsection (1) of section one of this Act, and, in particular and without prejudice to the generality of the foregoing provision, they shall for the purpose of discharging that function have power—

(a) to establish, install and use stations for wireless telegraphy;

- (b) to arrange for the provision and equipment of, or, if need be, themselves to provide and equip, studios and other premises for television broadcasting purposes ;
- (c) by arrangements made for the purpose with the Postmaster-General and persons carrying on broadcast relay stations, to provide for the distribution from broadcast relay stations of programmes broadcast by the Authority.

(2) The programmes broadcast by the Authority shall, so far as may be consistent with the observance of the requirements of this Act, be provided not by the Authority but by persons (hereafter in this Act referred to as "programme contractors") who, under contracts with the Authority, have, in consideration of payments to the Authority and subject to the provisions of this Act, the right and the duty to provide programmes or parts of programmes to be broadcast by the Authority, which may include advertisements ; but the Authority may—

- (a) arrange for the provision of parts of programmes otherwise than as aforesaid for the purpose of securing the inclusion in the programmes of items of particular classes which in their opinion are necessary for securing a proper balance in the subject matter of the programmes and cannot, or cannot as suitably, be provided by programme contractors ; and
- (b) apart from the provision of such items, arrange for the provision, otherwise than as aforesaid, of, or, if need be, themselves provide, programmes or parts of programmes so far as may be necessary by reason of any temporary lack of suitable persons able and willing to become or continue as programme contractors on suitable terms and to perform their obligations as such, or by reason of any interval between the expiration or termination of one contract with a programme contractor and the commencement of another contract with that or another programme contractor,

and may, for the purpose of so providing programmes or parts of programmes or putting themselves into a position to do so if necessity arises, make such arrangements for obtaining the necessary material, enter into such contracts, employ such persons, acquire such property and do such things as may appear to them to be necessary or expedient.

(3) Without prejudice to the generality of the preceding provisions of this section, the powers of the Authority shall extend to the carrying on of such businesses and the doing of such things as arise out of the other activities of the Authority or are necessary or expedient for the purpose of turning to account any property or rights of the Authority.

(4) Notwithstanding anything in this section the Authority shall not carry on business as sellers of, or, except with the approval of the Postmaster-General, themselves engage in the manufacture or sale of, apparatus for wireless telegraphy or any other telegraphic equipment.

(5) Notwithstanding anything in this section, the Authority shall not have power to provide broadcasting services other than television services nor (except as provided by this section) to acquire any exclusive or other rights in respect of the broadcasting of any matters in sound only:

Provided that nothing in this subsection shall be construed as precluding the inclusion in any programme broadcast by the Authority of matter transmitted in sound only—

- (a) by way of relays of any of the British Broadcasting Corporation's party political broadcasts which is so transmitted;
- (b) in compliance with directions given to the Authority under section nine of this Act; or
- (c) by way of news items, announcements or other items incidental or ancillary to the television services provided by the Authority,

or the acquisition by the Authority of rights in respect of any matter to be so transmitted.

(6) Nothing in this section shall be construed as authorising the Authority to do, otherwise than under and in accordance with a licence under section one of the Wireless Telegraphy Act, 1949, or section five of the Telegraph Act, 1869, anything for the doing of which such a licence is requisite under those Acts respectively, and those Acts shall have effect in relation to the Authority accordingly.

General
provisions as to
programmes
and publica-
tions of
Authority.

3.—(1) It shall be the duty of the Authority to satisfy themselves that, so far as possible, the programmes broadcast by the Authority comply with the following requirements, that is to say—

- (a) that nothing is included in the programmes which offends against good taste or decency or is likely to encourage or incite to crime or to lead to disorder or to be offensive to public feeling or which contains any offensive representation of or reference to a living person;
- (b) that the programmes maintain a proper balance in their subject matter and a high general standard of quality;

- (c) that any news given in the programmes (in whatever form) is presented with due accuracy and impartiality ;
- (d) that proper proportions of the recorded and other matter included in the programmes are of British origin and of British performance ;
- (e) that the programmes broadcast from any station or stations contain a suitable proportion of matter calculated to appeal specially to the tastes and outlook of persons served by the station or stations ;
- (f) that due impartiality is preserved on the part of the persons providing the programmes as respects matters of political or industrial controversy or relating to current public policy ; and
- (g) subject as hereinafter provided in this subsection, that no matter designed to serve the interests of any political party is included in the programmes :

Provided that nothing in paragraph (g) of this subsection shall prevent—

- (i) the inclusion in the programmes of relays of the whole (but not some only) of a series of the British Broadcasting Corporation's party political broadcasts ;
- (ii) the inclusion in the programmes of properly balanced discussions or debates where the persons taking part express opinions and put forward arguments of a political character.

(2) It shall be the duty of the Authority to secure the exclusion from any publications which they may issue and, without prejudice to the generality of the provisions of subsection (1) of this section, from the programmes broadcast by them, of all expressions of their own opinion as to any of the matters referred to in paragraph (f) of the said subsection (1), or of the opinion as to any such matters of any of their members or officers, or of the opinion as to any such matters of any programme contractor or, in the case of a programme contractor which is a firm, of any partner therein or, in the case of a programme contractor which is a body corporate, of any director or officer thereof or person having control thereof.

(3) Nothing shall be included in any programme broadcast by the Authority, whether in an advertisement or not, which offers any prize of significant value, whether competed for or not, or any gift of significant value, being a prize or gift which is available only to persons receiving that programme, or in relation to which any advantage is given to such persons.

(4) Except with the previous approval of the Authority, there shall not be included in any programme broadcast by the Authority—

- (a) any religious service or any propaganda relating to matters of a religious nature ;
- (b) any item, whether an advertisement or not, which gives or is designed to give publicity to the needs or objects of any association or organisation conducted for charitable or benevolent purposes.

Advertisements.

4.—(1) The programmes broadcast by the Authority may, so long as the provisions of this Act are complied with in relation thereto, include advertisements inserted therein in consideration of payments to the relevant programme contractor or, in the case of an advertisement included in a programme or part of a programme provided under paragraph (b) of subsection (2) of section two of this Act, to the Authority.

(2) Orders for the insertion of the said advertisements may be received either through advertising or other agents or direct from the advertiser but neither the Authority nor any programme contractor shall act as an advertising agent.

(3) It shall be the duty of the Authority to secure that the provisions of the Second Schedule to this Act are complied with in relation to the advertisements included in the programmes broadcast by the Authority, whether provided by programme contractors or by the Authority.

(4) After consultation with the Authority the Postmaster-General may make regulations by statutory instrument amending, repealing, or adding to the provisions of the said Schedule.

(5) Without prejudice to any of the duties incumbent on the Authority otherwise than under this subsection in relation to advertisements, it shall be the duty of the Authority to consult from time to time with the Postmaster-General as to the classes and descriptions of goods or services which must not be advertised and the methods of advertising which must not be employed and to carry out any directions which he may give them in those respects.

(6) Nothing shall be included in any programmes broadcast by the Authority, whether in an advertisement or not, which states, suggests or implies, or could reasonably be taken to state, suggest or imply, that any part of any programme broadcast by the Authority which is not an advertisement has been supplied or suggested by any advertiser ; and, except as an advertisement, nothing shall be included in any programme broadcast by the Authority which could reasonably be supposed to have been

included therein in return for payment or other valuable consideration to the relevant programme contractor or the Authority:

Provided that nothing in this subsection shall be construed as prohibiting the inclusion, in any part of a programme broadcast by the Authority which is not an advertisement, of any of the following matters, that is to say:—

- (a) items designed to give publicity to the needs or objects of any association or organisation conducted for charitable or benevolent purposes;
- (b) reviews of literary, artistic or other publications or productions, including current entertainments;
- (c) items consisting of factual portrayals of doings, happenings, places or things, being items which in the opinion of the Authority are proper for inclusion by reason of their intrinsic interest or instructiveness and do not comprise an undue element of advertisement;
- (d) announcements of the place of any performance included in the programme, or of the name and description of the persons concerned as performers or otherwise in any such performance, announcements of the number and description of any record so included, and acknowledgments of any permission granted in respect of any such performance, persons or record;
- (e) such other matters (if any) as may be prescribed by regulations made by the Postmaster-General by statutory instrument after consultation with the Authority,

or as prohibiting the inclusion of an advertisement in any programme broadcast by the Authority by reason only of the fact that it is related in subject-matter to any part of that programme which is not an advertisement.

(7) Before making any regulations under this section the Postmaster-General shall lay a draft thereof before each House of Parliament, and shall not make the regulations until a resolution has been passed by each House of Parliament approving the draft.

5.—(1) It shall be the duty of the Authority to do all that they can to secure that persons who are disqualified persons as defined in this subsection do not become or continue as programme contractors, either alone or in partnership with other persons. Contracts for programmes.

In this subsection, "disqualified person" means a person who—

- (a) being an individual, is not ordinarily resident in the United Kingdom, the Isle of Man or the Channel

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Islands, or being a body corporate, is incorporated under the laws of any country outside the United Kingdom, the Isle of Man and the Channel Islands ; or

- (b) being an individual or a body corporate, carries on business as an advertising agent (whether alone or in partnership), or has control over any body corporate which carries on business as an advertising agent, or is a director or officer of any such body corporate, or is employed by any person who carries on business as an advertising agent ;
- (c) being a body corporate, is under the control of any such person as is mentioned in the foregoing paragraphs of this definition, or of any two or more such persons together, or has among its directors, officers or servants any person who is a disqualified person otherwise than by virtue of paragraph (a) of this definition.

(2) It shall be the duty of the Authority to do all that they can to secure that there is adequate competition to supply programmes between a number of programme contractors independent of each other both as to finance and as to control.

(3) It shall be the duty of the Authority to do all that they can to secure that no programme contractor acquires any exclusive or other rights in respect of the broadcasting of any matter in sound only from stations in the United Kingdom, the Isle of Man or the Channel Islands, other than matter which is to be so broadcast in a programme or part of a programme provided by him under this Act.

(4) No contract and no interest in a contract between a programme contractor and the Authority shall be assignable either in whole or in part without the previous consent in writing of the Authority.

(5) The Authority may require from time to time from the programme contractor such declarations, returns, documents and other information as the Authority may consider necessary or advisable for the purpose of ensuring that the requirements of this Act are complied with.

Special provisions to be included in contracts.

6.—(1) The contracts between the Authority and the various programme contractors shall contain all such provisions (including provisions for the purposes set out in the Third Schedule to this Act) as the Authority think necessary or expedient to be inserted for complying and securing compliance with the provisions of this Act and any restrictions or requirements imposed thereunder in relation to the programmes provided by the programme contractors :

Provided that the Authority shall not be enabled by any such contract to exercise any such power as is referred to in the said

Third Schedule unless they are satisfied that it is necessary to do so having regard to a breach which they apprehend on the part of the programme contractor of any provision included in the contract in pursuance of this subsection.

(2) Every such contract shall in particular contain such provisions as the Authority think necessary or expedient as aforesaid for the payment by the programme contractor to the Authority of sums by way of penalty in the event of such breaches of his contract as may be specified in those provisions, and any such provision as is mentioned in this subsection shall be valid and enforceable in accordance with the terms thereof notwithstanding any rule of law restricting the cases in which or the extent to which provisions for penalties are legally enforceable:

Provided that every such contract shall be such as to secure—

- (a) that the maximum penalty which may be demanded by the Authority by virtue of this subsection in the case of any breach shall not exceed five hundred pounds on a first occasion, one thousand pounds on a second occasion, or one thousand five hundred pounds on any subsequent occasion; and
- (b) without prejudice to the power of the parties to agree upon any wider form of arbitration provision, that any dispute whether any such breach of contract has occurred as to give rise to a liability to such a penalty as aforesaid, or as to the amount demanded by way of penalty in respect of any such breach, shall be determined by arbitration.

(3) Without prejudice to the previous provisions of this section, every contract between the Authority and a programme contractor shall contain a provision reserving to the Authority an absolute right, if, in view of any breaches by the programme contractor of his obligations under his contract with the Authority, the Authority, after giving the programme contractor a reasonable opportunity of making representations with respect to the matter, think it necessary so to do, to serve on the programme contractor a notice in writing, taking effect forthwith or on a date stated in the notice, to determine or suspend for such period as may be specified in the notice or until a further notice is given the Authority's obligation to transmit the programmes supplied by the programme contractor (without prejudice, however, to the programme contractor's obligations as to the supply of programmes up to the date when the notice takes effect); and where a notice is given in pursuance of a right reserved in accordance with this subsection, the programme contractor shall not be entitled to any compensation from the Authority or to any refund of any sum

previously paid by him or to any relief from any liability which has accrued at the date when the notice takes effect for any sums payable by him to the Authority:

Provided that the contract shall be such as to secure that no notice is given in pursuance of a right reserved as aforesaid unless such penalties as are mentioned in subsection (2) of this section have been paid or agreed to be paid or adjudged by arbitration to be payable by the contractor in respect of breaches of the contract occurring on at least three separate occasions.

(4) The provisions of this section relating to breaches of contract on the part of programme contractors shall be without prejudice to the right of the Authority to accept as a repudiation by a programme contractor any breach of contract by the programme contractor going to the root of the contract and to any other remedies of the Authority for the enforcement of their rights in respect of contracts with programme contractors, and shall not, except as expressly provided therein, affect the jurisdiction of any court in respect of such contracts.

Television
broadcasting
facilities in
respect of
certain
sporting and
other events.

7.—(1) With a view to preventing the making of exclusive arrangements for the broadcasting to a restricted audience of sporting or other events of national interest, the Postmaster-General may make regulations as to the grant to the Authority and programme contractors and to the British Broadcasting Corporation respectively of television broadcasting facilities in respect of such events.

(2) Regulations made under this section shall not apply to the broadcasting of a record of any event specified therein unless the visual images are transmitted within seven days after the happenings represented by those images respectively.

(3) The power to make regulations under this section shall be exercisable by statutory instrument, and before making any such regulations the Postmaster-General shall lay a draft thereof before each House of Parliament, and shall not make the regulations until a resolution has been passed by each House of Parliament approving the draft.

Advisory
committees.

8.—(1) The Authority may appoint, or arrange for the assistance of, advisory committees to give advice to the Authority and programme contractors on such matters as the Authority may determine.

(2) Without prejudice to the generality of the foregoing subsection, the Authority shall in particular appoint, or arrange for the assistance of—

(a) a committee representative of the main streams of religious thought in the United Kingdom, the Isle of

Man and the Channel Islands, to give advice to the Authority as to the exercise of their functions in relation to any such items as are mentioned in paragraph (a) of subsection (4) of section three of this Act, and on any other matters of a religious nature included in the programmes broadcast by the Authority, or in any publications issued by the Authority ;

- (b) a committee representative of organisations, authorities and persons concerned with standards of conduct in the advertising of goods and services (including in particular the advertising of goods or services for medical or surgical purposes) to give advice to the Authority and programme contractors with a view to the exclusion of misleading advertisements from such programmes, and otherwise as to the principles to be followed in connection with the advertisements included in such programmes, or in any publications issued as aforesaid, and to prepare and submit to the Authority a code of such standards of conduct as aforesaid ; and
- (c) a committee representative of organisations, authorities and persons having experience of and special interest in the welfare and education of children and young persons, to give advice to the Authority as to the principles to be followed in connection with the broadcasting in such programmes of matter intended for children or young persons ;

and it shall be the duty of the Authority to comply and secure compliance with the recommendations of the said committees, subject to such exceptions or modifications, if any, as may appear to the Authority to be necessary or proper having regard to the duties incumbent on the Authority otherwise than under this subsection.

9.—(1) The Postmaster-General and any other Minister of the Crown may, if it appears to him to be necessary or expedient so to do in connection with his functions as such, at any time by notice in writing require the Authority to broadcast, at such times as may be specified in the notice and from such of the stations used by them as may be so specified, any announcement so specified, with or without visual images of any picture, scene or object mentioned in the announcement, and it shall be the duty of the Authority to comply with the notice.

Government
control over
Authority as
to certain
matters.

Where the Authority broadcast any announcement in pursuance of a notice under this subsection they may, if they think fit, announce that they are doing so in pursuance of such a notice.

(2) The Postmaster-General may at any time by notice in writing require the Authority to refrain from broadcasting any matter or classes of matter specified in the notice, and it shall be the duty of the Authority to comply with the notice.

(3) The Postmaster-General may from time to time by notice in writing give directions to the Authority as to the maximum time, the minimum time, or both the maximum and the minimum time, which is to be given each day to broadcasts from any of the television broadcasting stations used by them, and as to the hours of the day in which such broadcasts are or are not to be given, and it shall be the duty of the Authority to comply with the notice.

(4) The Postmaster-General may at any time, if, after consultation with the Authority he thinks it necessary or expedient so to do for the purpose of extending the area served by the broadcasts of the Authority or improving the strength or quality of the transmission of those broadcasts, by notice in writing served on the Authority require the Authority to do or cause to be done all or any of the following things, that is to say, the adoption or use of such technical measures or processes as may be specified in the notice, or the installation, establishment, maintenance or use of such additional station, stations or apparatus as may be so specified, situate in such places and complying with such requirements as may be so specified, and it shall be the duty of the Authority to comply with the notice.

(5) Where a notice under the last foregoing subsection requires the Authority—

(a) to establish or use any additional station ; or

(b) to install or use any additional transmitting apparatus for the purposes of the transmission of an additional programme,

the Postmaster-General shall lay a copy of the notice before each House of Parliament.

(6) The powers conferred by this section are in addition to any powers specifically conferred on the Postmaster-General by any other provisions of this Act.

(7) In relation to any television broadcasting station in Northern Ireland, the reference in subsection (1) of this section to a Minister of the Crown shall be deemed to include a reference to any Minister of Northern Ireland.

General duty
of Authority
as to finance.

10. It shall be the duty of the Authority so to conduct their affairs as to secure that their revenues become at the earliest possible date, and thereafter continue, at least sufficient—

(a) to meet all sums properly chargeable to revenue account (including sums required for the repayment of loans

and interest thereon, for provision for depreciation and for the establishment and maintenance of their reserve fund); and

- (b) to make provision towards, and as soon as practicable for, necessary capital expenditure.

11. The Postmaster-General may, with the consent of the Treasury, pay to the Authority out of moneys provided by Parliament, such sums, not exceeding seven hundred and fifty thousand pounds in any one financial year, as he may with the consent of the Treasury determine.

Grants by
Postmaster-
General to
Authority.

12.—(1) For the purpose of enabling the Authority to defray initial expenses and expenditure properly chargeable to capital account and of providing the Authority with working capital, the Postmaster-General, with the consent of the Treasury, may, within five years beginning with the date of the passing of this Act, make advances to the Authority on such terms as to interest and repayment, and on such security, as he may with the consent of the Treasury determine:

Advances by
Postmaster-
General to
Authority.

Provided that not more than one million pounds shall be advanced under this subsection in the year beginning with the date of the passing of this Act nor more than two million pounds in all.

(2) The Treasury may issue to the Postmaster-General out of the Consolidated Fund or the growing produce thereof such sums as are necessary to enable him to make advances to the Authority under subsection (1) of this section; and for the purpose of providing sums or any part of sums to be issued under this subsection, or to provide for the replacement of all or any part of sums so issued, the Treasury may, at any time, if they think fit, raise money in any manner in which they are authorised to raise money under the National Loans Act, 1939, and any securities created and issued to raise money under this subsection shall be deemed for all purposes to be created and issued under that Act.

(3) Sums received by the Postmaster-General from the Authority in respect of advances made under subsection (1) of this section shall be paid into the Exchequer and shall be issued out of the Consolidated Fund or the growing produce thereof at such times as the Treasury may direct and shall be applied by the Treasury as follows, that is to say—

- (a) so much thereof as represents principal shall be applied in redeeming or in paying off debt of such description as the Treasury think fit;
- (b) so much thereof as represents interest shall be applied to the payment of interest which would, apart from this provision, have fallen to be paid out of the permanent annual charge for the national debt.

(4) The Postmaster-General shall, as respects each financial year, prepare in such form and manner as the Treasury may direct an account of sums issued to him under subsection (2) of this section and of sums received by him from the Authority and paid into the Exchequer under subsection (3) of this section.

(5) Any account prepared under this section shall, on or before the thirtieth day of November next following the expiration of the financial year in question, be submitted to the Comptroller and Auditor General who shall examine and certify the account and lay copies thereof together with his report before each House of Parliament.

**Application
of revenues.**

13.—(1) Any excess of the revenues of the Authority for any financial year over the total sums properly chargeable by the Authority to revenue account for that year, including in such sums (without prejudice to the generality of that expression) sums credited under the next following section to the reserve fund of the Authority, shall be applied by the Authority in such manner as the Postmaster-General, with the approval of the Treasury and after consultation with the chairman (or in his absence the deputy chairman) of the Authority, may direct.

(2) Any direction given under subsection (1) of this section may require the whole or any part of any such excess as aforesaid to be paid into the Exchequer.

Reserve fund.

14.—(1) The Authority shall establish and maintain a reserve fund.

(2) The management of the said fund, the sums to be carried from time to time to the credit thereof, and the application thereof shall be as the Authority may determine:

Provided that—

(a) no part of the said fund shall be applied otherwise than for the purposes of the Authority ;

(b) the Postmaster-General may, with the approval of the Treasury, give to the Authority such directions as he thinks fit as to any matter relating to the establishment or management of the said fund, the carrying of sums to the credit thereof, or the application thereof, and the Authority shall comply with the directions.

**Accounts,
audit and
reports.**

15.—(1) The Authority shall keep proper accounts and proper records in relation to the accounts and shall prepare in respect of each financial year a statement of accounts in such form as the Postmaster-General with the approval of the Treasury may direct, being a form which shall conform with the best commercial standards.

(2) The accounts of the Authority shall be audited by auditors to be appointed by the Authority with the approval of the Postmaster-General, and a person shall not be qualified to be so appointed unless he is a member of one or more of the following bodies—

The Institute of Chartered Accountants in England and Wales ;

The Society of Incorporated Accountants ;

The Institute of Chartered Accountants of Scotland ;

The Association of Certified and Corporate Accountants ;

The Institute of Chartered Accountants in Ireland ;

Any other body of accountants established in the United Kingdom and for the time being recognised for the purposes of paragraph (a) of subsection (1) of section one hundred and sixty-one of the Companies Act, 1948, by the Board of Trade.

(3) As soon as may be after the end of every financial year, the Authority shall prepare a general report of their proceedings during that year, and transmit it to the Postmaster-General who shall consider it and lay copies thereof before each House of Parliament.

(4) The said report shall have attached thereto the statement of accounts for the year and a copy of any report made by the auditor thereon and shall also include such information relating to the plans, and past and present activities, of the Authority, and the financial position of the Authority, as the Postmaster-General may from time to time direct.

(5) The Authority shall at all reasonable times upon demand made by the Postmaster-General or by any person authorised by him in that behalf—

(a) afford to him or them full liberty to examine the accounts of the Authority ; and

(b) furnish him or them with all forecasts, estimates, information and documents which he or they may require with respect to the financial transactions and engagements of the Authority.

16.—(1) Except so far as the Authority are satisfied that adequate machinery exists for achieving the purposes of this section, it shall be the duty of the Authority to seek consultation with any organisation appearing to them to be appropriate with a view to the conclusion between the Authority and that organisation of such agreements as appear to the parties to be desirable with respect to the establishment and maintenance of machinery for—

Machinery for settling terms and conditions of employment of Authority's staff, etc.

(a) the settlement by negotiation of terms and conditions of employment of persons employed by the Authority

with provision for reference to arbitration in default of such settlement of such cases as may be determined by or under the agreements ; and

- (b) the promotion and encouragement of measures affecting the safety, health and welfare of persons employed by the Authority and the discussion of other matters of mutual interest to the Authority and such persons.

(2) The Authority shall send to the Postmaster-General and the Minister of Labour and National Service copies of any such agreement as aforesaid and of any instrument varying the terms of any such agreement.

(3) In relation to any agreement affecting employment in Northern Ireland, the reference in subsection (2) of this section to the Minister of Labour and National Service shall be construed as including a reference to the Minister of Labour and National Insurance for Northern Ireland.

Wages and
conditions of
employment
of persons
employed by
programme
contractors.

17.—(1) The wages paid by any programme contractor to persons employed by him in connection with his business as such and the conditions of employment of persons so employed shall, unless agreed upon by the programme contractor or any organisation representative of programme contractors and by organisations representative of the persons employed, be no less favourable to the person employed than the wages which would be payable, and the conditions which would have to be observed, under a contract which complies with the requirements of any resolution of the House of Commons for the time being in force applicable to contracts of Government departments ; and if any dispute arises as to what wages ought to be paid, or what conditions ought to be observed, in accordance with this section, it shall, if not otherwise disposed of, be referred by the Minister of Labour and National Service to the industrial court for settlement.

(2) Where any award has been made by the industrial court upon a dispute referred to that court under this section, then, as from the date of the award or from such other date, not being earlier than the date on which the dispute to which the award relates first arose, as the court may direct, it shall be an implied term of the contract between the employer and workers to whom the award applies that the rate of wages to be paid, or the conditions of employment to be observed, under the contract shall, until varied in accordance with the provisions of this section, be in accordance with the award.

(3) In relation to employment in Northern Ireland, the references in this section to the House of Commons, Government departments, the Minister of Labour and National Service

and the industrial court shall be construed as references to the House of Commons of Northern Ireland, departments of the Government of Northern Ireland, the Minister of Labour and National Insurance for Northern Ireland and an industrial court established in Northern Ireland under the Industrial Courts Act, 1919.

18. Any administrative expenses incurred by the Postmaster-General for the purposes of this Act shall be defrayed out of moneys provided by Parliament. Expenses of Postmaster-General.

19. In this Act, unless the context otherwise requires— Interpretation.

“broadcast relay station” means a station for the re-transmission by cable or wire to the customers of the persons maintaining the station of broadcast programmes which those persons receive either by cable or wire or by wireless from the persons who broadcast the programmes ;

“control,” in relation to a body corporate, means the power of a person to secure, by means of the holding of shares or the possession of voting power in or in relation to that or any other body corporate, or by virtue of any powers conferred by the articles of association or other document regulating that or any other body corporate, that the affairs of the first-mentioned body corporate are conducted in accordance with the wishes of that person ;

“financial year” means the twelve months ending with the thirty-first day of March ;

“programme contractor” has the meaning assigned to it by subsection (2) of section two of this Act ;

“wireless telegraphy”, “station for wireless telegraphy” and “apparatus for wireless telegraphy” have the same meanings as in the Wireless Telegraphy Act, 1949.

20.—(1) This Act may be cited as the Television Act, 1954. Short title and extent.

(2) It is hereby declared that this Act extends to Northern Ireland.

(3) Her Majesty may by Order in Council direct that all or any of the provisions of this Act shall extend to the Isle of Man or any of the Channel Islands with such adaptations and modifications, if any, as may be specified in the Order, and any Order in Council under this subsection may be revoked or varied by a subsequent Order in Council.

SCHEDULES

FIRST SCHEDULE

Section 1.

PROVISIONS AS TO THE INDEPENDENT TELEVISION AUTHORITY

1. The Authority shall be a body corporate with perpetual succession and a common seal and power to hold land without licence in mortmain.

In relation to land in Scotland, this paragraph shall have effect with the omission of the words "without licence in mortmain".

2. The Authority may act notwithstanding a vacancy among their members.

3. The quorum of the Authority shall be three or such number not being less than three as the Authority may from time to time determine.

4. It shall be within the capacity of the Authority as a statutory corporation to do such things and enter into such transactions as are incidental or conducive to the exercise and performance of their powers and duties under this Act, including the borrowing of money.

5.—(1) A member of the Authority who is in any way directly or indirectly interested in a contract made or proposed to be made by the Authority shall, as soon as possible after the relevant circumstances have come to his knowledge, disclose the nature of his interest at a meeting of the Authority.

(2) Any disclosure made under sub-paragraph (1) of this paragraph shall be recorded in the minutes of the Authority and the member—

(a) shall not take part after the disclosure in any deliberation or decision of the Authority with respect to that contract ; and

(b) shall be disregarded for the purpose of constituting a quorum of the Authority for any such deliberation or decision.

6. Subject to the preceding provisions of this Schedule the Authority may regulate their own procedure.

7.—(1) The Authority may appoint a secretary and such other officers and take into their employment such other persons as they may determine.

(2) The Authority shall, as regards any officers or persons employed in whose case it may be determined by the Authority with the approval of the Postmaster-General so to do, pay to or in respect of them such pensions, or provide and maintain for them such pension schemes (whether contributory or not), as may be so determined.

(3) If any officer of or other person employed by the Authority, being a participant in any pension scheme applicable to his office or employment, becomes a member of the Authority, he may be treated for the purposes of the pension scheme as if his service as a member of the Authority were service as an officer of or person employed by the Authority.

1ST SCH.
—cont.

8. The application of the seal of the Authority shall be authenticated by the signatures of the chairman or deputy chairman of the Authority or some other member of the Authority authorised by the Authority to authenticate the application of the seal thereof, and of the secretary of the Authority or some other officer of the Authority authorised by the Authority to act in that behalf.

9. Any document purporting to be an instrument issued by the Authority and to be sealed as aforesaid or to be signed on behalf of the Authority shall be received in evidence and shall be deemed to be such an instrument without further proof unless the contrary is shown.

SECOND SCHEDULE

Section 4.

RULES AS TO ADVERTISEMENTS

1. The advertisements must be clearly distinguishable as such and recognisably separate from the rest of the programme.

2. The amount of time given to advertising in the programmes shall not be so great as to detract from the value of the programmes as a medium of entertainment, instruction and information.

3. Advertisements shall not be inserted otherwise than at the beginning or the end of the programme or in natural breaks therein, and rules (to be agreed upon from time to time between the Authority and the Postmaster-General, or settled by the Postmaster-General in default of such agreement) shall be observed—

(a) as to the interval which must elapse between any two periods given over to advertisements ;

(b) as to the classes of broadcasts (which shall in particular include the broadcast of any religious service) in which advertisements may not be inserted, and the interval which must elapse between any such broadcast and any previous or subsequent period given over to advertisements.

4. In the acceptance of advertisements, there must be no unreasonable discrimination either against or in favour of any particular advertiser.

5. The charges made by any programme contractor for advertisements shall be in accordance with tariffs fixed by him from time to time, being tariffs drawn up in such detail and published in such form and manner as the Authority may determine..

Any such tariffs may make provision for different circumstances and, in particular, may provide, in such detail as the Authority may determine, for the making, in special circumstances, of additional special charges.

6. No advertisement shall be permitted which is inserted by or on behalf of any body the objects whereof are wholly or mainly of a religious or political nature, and no advertisement shall be permitted which is directed towards any religious or political end or has any relation to any industrial dispute.

2ND SCH.
—cont.

7. If, in the case of any of the television broadcasting stations used by the Authority, there appears to the Authority to be a sufficient local demand to justify that course, provision shall be made for a reasonable allocation of time for local advertisements, of which a suitable proportion shall be short local advertisements.

Section 6.

THIRD SCHEDULE

PURPOSES FOR WHICH PROVISION IS TO BE MADE IN CONTRACTS WITH PROGRAMME CONTRACTORS

1. For enabling the Authority to require the provision by the programme contractor to them in advance of scripts and particulars of the programmes or any part thereof, including advertisements, and of full details of the technical arrangements for obtaining visual images and sounds which are to form the programmes or any part thereof.

2. For enabling the Authority to require the making of visual and sound records of the programmes or any part thereof (including advertisements) and the production thereof to the Authority for examination or reproduction.

3. For reserving to the Authority power to forbid the broadcasting of any matter, or class or description of matter.

4. For reserving to the Authority power to require that nothing shall be broadcast without the previous approval of the Authority.

Table of Statutes referred to in this Act

Short Title	Session and Chapter
Telegraph Act, 1869	32 & 33 Vict. c. 73.
Industrial Courts Act, 1919	9 & 10 Geo. 5. c. 69.
National Loans Act, 1939	2 & 3 Geo. 6. c. 117.
Companies Act, 1948	11 & 12 Geo. 6. c. 38.
Wireless Telegraphy Act, 1949	12, 13 & 14 Geo. 6. c. 54.